UNIT II · FINANCIAL MARKETS

Money Market

Functions · Organisation · Instruments · RBI Role · Indian Context
Practical Corporate Applications

Handout Notes for B.Com Students

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1. Learning Outcomes

After studying this module you will be able to:

- Define the money market and list its key characteristics.
- Explain the organisation, participants and daily operating mechanism of the money market.
- Describe the major instruments (Call Money, T-Bills, CP, CD, Repo, TREPS) with their features, issuers and investors.
- Analyse the central role of the RBI and the policy interest-rate corridor.
- Understand the structure, reforms and current state of the Indian money market.
- Apply the knowledge practically — how a company raises short-term funds or parks surplus cash in the money market.

2. What is the Money Market?

Definition: The Money Market is the market for short-term funds (maturity up to one year) where highly liquid, low-risk debt instruments are traded. It is essentially a wholesale market for short-term debt.

Key Characteristics

Very Short Maturity: Overnight to maximum 1 year; most activity is under 3 months.

Institutional / Wholesale: Banks, RBI, corporates, mutual funds, insurance companies, Primary Dealers. Large ticket sizes.

High Liquidity: Instruments can be converted into cash quickly with minimal price risk.

Low Credit Risk: Sovereign (T-bills) or high-rated issuers; many instruments are collateralised.

Interest-Rate Sensitive: Rates move daily with liquidity conditions. Weighted Average Call Rate (WACR) is the key signal.

Highly Regulated: Primarily under the Reserve Bank of India.

3. Functions of the Money Market

Liquidity Management: Enables banks and institutions to manage day-to-day surplus or deficit of funds efficiently.

Short-term Financing: Provides working capital and bridge finance to governments, banks and large corporates.

Monetary Policy Transmission: Primary channel through which RBI's policy rate changes reach the real economy.

Price Discovery: Daily determination of short-term interest rates that serve as benchmarks for other rates.

Portfolio / Cash Management: Safe parking place for temporary surplus funds of banks, corporates and mutual funds.

Financial Stability: Well-functioning money market acts as a buffer and reduces systemic risk.

4. Organisation & Participants

Dual Structure of the Indian Money Market

Organised Sector	Unorganised Sector
Regulated and supervised by the RBI. Standardised instruments, electronic platforms (Clearcorp/CCIL). Participants: Commercial Banks, Primary Dealers, Mutual Funds, Insurance companies, large Corporates, NBFCs (select), RBI itself.	Outside formal regulation. Indigenous bankers, moneylenders, chit funds, nidhis. Still important for MSMEs and rural finance; interest rates are high and opaque.

Key Participants in the Organised Market

- **RBI** — Regulator + active liquidity manager + issuer of T-bills on behalf of Government.
- **Scheduled Commercial Banks** — Largest players; manage CRR/SLR and daily liquidity.
- **Primary Dealers** — Market-makers in G-Secs; underwrite T-bill auctions.
- **Mutual Funds & Insurance** — Major lenders of surplus (especially in TREPS).
- **Corporates & NBFCs** — Issue Commercial Paper; also invest surplus cash.

5. How the Money Market Operates (Daily Flow)

1. Banks assess their CRR, SLR and cash balances every morning.
2. Decide whether they are in surplus or deficit for the day / week.
3. Access the market via Clearcorp platforms (Call, TREPS) or bilaterally (Repo).
4. Settlement is same-day or T+0 / T+1 through CCIL / RBI.
5. If rates move outside the desired band, RBI intervenes through LAF, OMO or Variable Rate operations.

6. Money Market Instruments — Overview

Instrument	Issuer	Maturity	Key Feature
Call / Notice Money	Banks & PDs	1–14 days	Unsecured inter-bank
Treasury Bills	Govt of India (via RBI)	91 / 182 / 364 days	Zero-coupon, risk-free
Commercial Paper	Corporates, NBFCs, PDs	7 days – 1 year	Unsecured promissory note
Certificate of Deposit	Banks & select FIs	7 days – 1 year	Negotiable bank deposit
Repo / Reverse Repo	Banks, FIs, RBI	Mostly 1–14 days	Collateralised borrowing
TREPS (Triparty Repo)	Wide participants	Overnight mainly	CCIL-cleared, largest volume

7. Instruments — Detailed Notes

7.1 Call Money / Notice Money / Term Money

Pure inter-bank market for **unsecured** short-term funds. Only banks and Primary Dealers can participate.

- **Call Money** — Overnight (1 day). Most sensitive indicator of liquidity. WACR is RBI's operating target.
- **Notice Money** — 2 to 14 days.
- **Term Money** — 15 days to 1 year (less liquid).

7.2 Treasury Bills (T-Bills)

Zero-coupon sovereign instruments issued by the Government of India through the RBI. Safest rupee asset and SLR-eligible.

- Tenors: **91-day** (weekly auction), **182-day** and **364-day** (fortnightly).
- Issued at a discount and redeemed at face value.

• **Cash Management Bills (CMBs)** are ad-hoc T-bills of less than 91 days for temporary government cash needs.
• Auction process: Competitive + Non-competitive bids → Uniform price cut-off → T+1 settlement.
• Individuals can now buy via RBI Retail Direct platform.

7.3 Commercial Paper (CP)

Unsecured short-term promissory note issued by highly rated companies, NBFCs and Primary Dealers to raise working capital at a lower cost than bank loans.

• Maturity: 7 days to 1 year | Minimum size: ■5 lakh | Must carry minimum credit rating of A3.
• Issued at discount; stamp duty applicable; usually in demat form.
• Major investors: Mutual funds, banks, insurance companies, corporates.

7.4 Certificate of Deposit (CD)

A negotiable, marketable instrument issued by banks against funds deposited for a specified period — essentially a transferable Fixed Deposit.

• Issued by Scheduled Commercial Banks and select All-India Financial Institutions (not by RRBs or Co-operative banks).
• Banks: 7 days – 1 year | FIs: 1–3 years | Minimum ■5 lakh.
• Can be sold in the secondary market before maturity; banks cannot grant loans against their own CDs.

7.5 Repo & Reverse Repo

Repo: Borrower sells securities to the lender with an agreement to repurchase them later at a higher price → collateralised loan. RBI uses Repo to inject liquidity. The Policy Repo Rate is the main signalling rate.

Reverse Repo / SDF: RBI (or lender) buys securities / accepts deposits to absorb excess liquidity. The Standing Deposit Facility (SDF, introduced 2022) is the floor of the corridor and requires no collateral.

7.6 TREPS (Triparty Repo)

The largest segment of the overnight money market today (≈69 % of daily volume). Replaced CBLO in 2018. Cleared and settled by CCIL. Open to banks, PDs, mutual funds, insurance, corporates and NBFCs — far broader participation than pure call money. Because it is collateralised, credit risk is lower.

8. Role of the Central Bank (RBI)

RBI is not a passive regulator — it is the most powerful participant and the architect of the money market.

Regulator: Sets rules for instruments, participants and settlement systems.

Liquidity Manager: Injects or absorbs liquidity daily via LAF, OMO, VRR/VRRR.

Issuer Agent: Auctions T-bills and CMBs on behalf of the Government.

Policy Transmitter: Uses the money market (especially WACR) as the operating target of monetary policy.

Lender of Last Resort: MSF window and emergency facilities for banks.

Market Developer: Introduced Primary Dealers, CCIL, TREPS, Retail Direct, SDF, etc.

The Policy Interest-Rate Corridor

MSF Rate (Ceiling) → Banks can borrow overnight from RBI against collateral at a penalty rate.
Policy Repo Rate → Main signalling rate decided by the Monetary Policy Committee (MPC).
SDF Rate (Floor) → Banks can park unlimited surplus with RBI without collateral.
RBI keeps the Weighted Average Call Rate (WACR) inside this corridor most of the time.

9. Indian Money Market — Overview & Features

India's money market has transformed from a fragmented, bank-centric system into a modern, electronic, multi-participant market. The shift from unsecured call-money dominance to collateralised TREPS is the defining change of the last decade.

• Daily average overnight turnover now exceeds ■5.5 lakh crore.
• TREPS accounts for ~69 % of overnight volume; pure call money has fallen to ~2 %.
• WACR remains the operating target of monetary policy.

Distinctive Features

- Dual structure (Organised + Unorganised) still co-exists.
- Growing collateralisation and electronic trading (Clearcorp platforms).
- Mutual funds and insurance companies are now major lenders in TREPS.
- Tight policy-corridor discipline maintained by RBI.

Major Reforms (Selected)

- 1990s — Introduction of CP, CD, Primary Dealers; end of ad-hoc T-bills.
- 2001 — CCIL established (revolutionised clearing & settlement).
- 2018 — TREPS replaced CBLO, opening the market to non-banks.
- 2021 — RBI Retail Direct scheme (individuals can buy G-Secs & T-bills online).
- 2022 — Standing Deposit Facility (SDF) introduced as the new floor.
- 2024–25 — Revised Master Directions on Commercial Paper; expanded eligible issuers.

10. How a Company Uses the Money Market (Practical)

Every large company has two constant treasury needs: (1) raise short-term funds when cash is tight, and (2) park surplus cash safely and profitably. The money market is the primary solution for both.

A. When the Company Needs Money

- Issue Commercial Paper (cheaper than bank credit for strong names).
- Discount commercial bills / use factoring.
- Draw on bank working-capital limits (overdraft / cash credit).

B. When the Company Has Surplus Cash

- Buy T-Bills / CMBs (sovereign safety).
- Invest in Liquid / Overnight Mutual Fund schemes (T+0 / T+1 liquidity).
- Place funds in Certificates of Deposit of banks.
- Participate in TREPS (if eligible).

Quick Comparison for Corporate Surplus

Instrument	Risk	Liquidity	Best For
T-Bills / CMBs	Sovereign	Very High	Safety first
Liquid / Overnight MFs	Very Low	T+0 / T+1	Daily cash
Bank CDs	Bank risk	Moderate	1–6 month park
TREPS (if eligible)	Collateralised	Overnight	Overnight surplus
Top-rated CP	Credit risk	Moderate	Yield pick-up

Steps to Issue Commercial Paper (Corporate Checklist)

1. Check eligibility (net worth, minimum A3 rating, listing status).
2. Obtain Board approval for the CP programme and maximum outstanding limit.
3. Obtain credit rating and appoint an Issuing & Paying Agent (usually a bank).
4. Complete documentation (CP Issue Agreement, offer document, stamp duty).
5. Private placement to mutual funds, banks, corporates, HNIs via arrangers.
6. Listing (if required) and regulatory reporting to RBI / FIMMDA.

11. Money Market vs Capital Market

Parameter	Money Market	Capital Market
Tenor	Up to 1 year	More than 1 year
Purpose	Liquidity & working capital	Long-term investment & growth
Risk	Low	Higher (equity / longer debt)
Instruments	T-bills, CP, CD, Call, Repo	Shares, Bonds, Debentures
Primary Regulator	RBI	SEBI

Participants	Mostly institutions	Retail + Institutions

12. Must-Know Terms (Glossary)

WACR — Weighted Average Call Rate — the key operating target of RBI monetary policy.
LAF — Liquidity Adjustment Facility — daily window for repo and reverse-repo operations.
SDF — Standing Deposit Facility — floor of the corridor; no collateral needed (since 2022).
MSF — Marginal Standing Facility — emergency borrowing ceiling rate.
TREPS — Triparty Repo — largest overnight collateralised market, cleared by CCIL.
Primary Dealer — Entity authorised by RBI to underwrite and make markets in G-Secs.
CRR — Cash Reserve Ratio — portion of deposits banks must keep with RBI in cash.
SLR — Statutory Liquidity Ratio — portion that must be held in approved securities.
OMO — Open Market Operations — outright buying/selling of G-Secs by RBI.
CMB — Cash Management Bill — ultra-short T-bill for temporary government cash needs.
FIMMDA — Fixed Income Money Market and Derivatives Association of India.
CCIL — Clearing Corporation of India Ltd — central counterparty for money & G-Sec markets.

13. Key Takeaways (One-Minute Revision)

1. Money market = short-term (≤ 1 year), wholesale, highly liquid, low-risk market.
2. Core functions: liquidity management, short-term finance, monetary-policy transmission.
3. Main instruments: Call/Notice, T-Bills, CP, CD, Repo, TREPS.
4. RBI sits at the centre — regulator, liquidity manager and policy transmitter.
5. Indian market has shifted dramatically towards collateralised segments (TREPS).
6. Companies use it both to raise cheap short-term funds (CP) and to park surplus safely (T-bills / Liquid MFs).
7. Understand the policy corridor: SDF (floor) → Repo → MSF (ceiling).
8. WACR is the operating target; RBI intervenes when it drifts outside the corridor.

14. Discussion / Exam-Oriented Questions

Q1. Why has the share of call money declined sharply while TREPS has grown? What does this tell us about risk preference in the market?

Q2. Explain how a cut in the policy repo rate is transmitted to the real economy through the money market.

Q3. A company rated A2+ wants to raise ■50 crore for 90 days. Compare the cost and process of issuing CP versus taking a bank working-capital loan.

Q4. What is the significance of the Standing Deposit Facility introduced in 2022?

Q5. Differentiate between T-Bills and Commercial Paper from the perspective of an investor and an issuer.

Q6. Suppose the RBI raises the policy repo rate by 25 basis points. Trace the likely impact on call rates, TREPS rates, CP yields and bank lending rates.

Recommended further reading: *RBI Master Directions on Money Market Instruments & Commercial Paper; RBI Annual Report & Financial Stability Reports; FIMMDA Handbook; CCIL educational material on TREPS; RBI Retail Direct portal for hands-on understanding of T-bill auctions.*

These notes accompany the full 40-slide teaching presentation. Use both together for complete preparation.

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